

Meridian Actuarial Advisors LLC

www.meridianactuarial.com

August 18, 2017

Michelle Hudson
Director of Operations
Miller, Cook and Snyder

Re: Engagement to perform a reserve adequacy review for Miller, Cook and Snyder

Dear Ms. Hudson:

This letter sets out the terms on which our firm will perform a reserve adequacy review for Miller, Cook and Snyder. It records what we will do, what we will rely on, and the basis on which we are engaged. We have written the terms plainly, because we would rather you know exactly what you are agreeing to than have to work it out later from the invoices. The work will begin on August 28, 2017, and the paragraphs below cover the review itself, the people who will do it, the fee, and the standard terms that carry the engagement.

The Review and What It Covers

The purpose of the review is to form an opinion on whether the reserves carried by Miller, Cook and Snyder are adequate to meet the obligations they are meant to fund, measured as of a valuation date we will fix with your staff at the outset. The opinion is the deliverable; everything else is in support of it. So there is no ambiguity about scope, the work has five parts.

- A reconciliation of the reserve data you provide against your own financial records, so that the figures we test are the figures you carry.
- A review of the assumptions underlying the current reserves, keeping the assumptions that regulation fixes separate from those that rest on judgment.
- An independent estimate of the required reserves under the standards named below, developed from the data as reconciled rather than as received.
- A comparison of that estimate against the carried reserves, with any difference attributed to its sources rather than reported as a single number.
- A written report that states what the data show, what we assumed, and what we conclude, and keeps those three as three separate matters.

Matters outside this list are outside the engagement. We are not auditing your financial statements, setting your reserves for you, or opining on the adequacy of your rates. If you want any of those, we can scope them separately.

What We Will Need From You

The review turns on the data, so a few things on your side keep it on schedule. We will need the reserve detail, the financial records the reserves are carried against, and the assumption documentation in effect at the valuation date, and we will send a single itemized request rather than ask for these piecemeal. We also need one person we can put questions to as they come up, since a file usually raises a question that only your staff can settle. The sooner those requests are answered, the sooner we can reconcile against the right records the first time.

How We Will Work

We begin with your data and your own records, not with a template carried in from another client. Our reliance on the data is exactly that, reliance. We will test it for internal consistency and reconcile it to your records, but we do not audit it, and our opinion is conditioned on the data being complete and correct in the respects the report identifies. The review is performed in accordance with the applicable Actuarial Standards of Practice and the Code of Professional Conduct, and the report will name the standards it rests on. Where a figure reflects a judgment rather than a measurement, we will say so and give you the reasoning, rather than ask you to take the number on faith.

The Engagement Team

Jennifer Vasquez, a consulting actuary in our practice, owns the relationship and the day-to-day conduct of the work, and she is your point of contact for anything touching scope, schedule, or judgment. David Sherman, a senior analyst, builds and documents the valuation workbook and reconciles the data you send us. Megan Dudley, an actuarial associate, supports the exhibits and the data checks. I review the work and sign the opinion, and the professional responsibility for it is mine. You will hear from Jennifer Vasquez first, and she will coordinate the rest of us.

Fees and Payment

Our fee for the review is a fixed fee of \$78,000, covering the work described above and the report that concludes it. We will invoice in three installments: a third at the start, a third on delivery of the draft report, and the balance on delivery of the final report. Invoices are due within thirty days. Out-of-pocket costs, if any, are billed at

our cost and are expected to be minor. If anything arises that would materially change the fee, we will raise it with you in writing before the cost is incurred, not after.

Term and Termination

The engagement begins on the date noted above and runs until we deliver the final report, a period we expect to take about seven months. Either of us may end it on written notice. If you end it early, you owe us for the work performed to that point and for costs already committed. If we end it, we will give you enough notice and enough of our working files to let another actuary take up the work without repeating it.

Confidentiality

We will treat the information you give us as confidential and use it only for this engagement. We will not disclose it outside our firm except as you direct in writing or as the law requires, and where the law requires it we will tell you before we respond unless we are barred from doing so. Our working papers remain ours, and we hold them under the same duty of confidence.

Limitation of Liability

Our opinion is prepared for Miller, Cook and Snyder and for the use described in the report; it is not to be relied on by anyone else, or for any other purpose, without our written consent. Our liability to you arising out of this engagement, whether framed in contract or in negligence, is limited to the fee paid for the work, except for any liability that cannot be limited by law. We accept no liability to third parties.

Governing Law

This agreement is governed by the law of the state in which our principal office sits, and any dispute arising under it belongs to the courts of that state.

If these terms match your understanding, please sign one copy of this letter where indicated below and return it to us, and keep the other for your file. Your signature is our authority to begin. If anything here reads differently from what we discussed, call me before you sign and we will fix the wording rather than paper over it.

Sincerely,

Robert Lawrence

Managing Actuary

Date: August 18, 2017

Michelle Hudson

Director of Operations, Miller, Cook and Snyder

Date: August 18, 2017